

PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: January 13, 2006
Re: **Calendar Year End; Updated Performance et. al.**

Dear Partners:

December 31 is the annual redemption date for all the funds. To that end, the redemptions in aggregate by fund are:

PIF2: \$7.1 Million PIF3: \$2.9 Million PIF4: \$3.2 Million

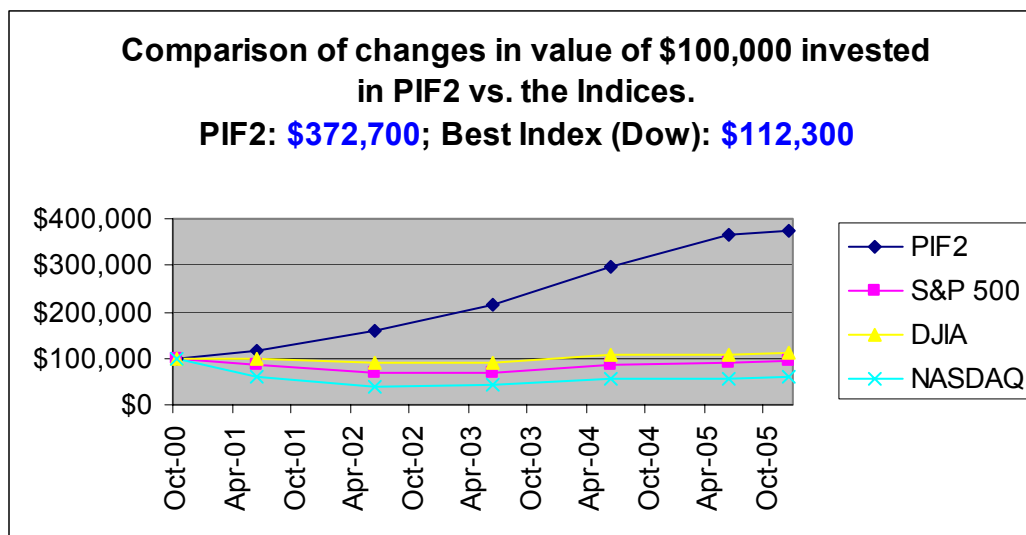
In addition, on January 1, 2006, PIF3 all three funds were open to add investors and a total of about \$4.1 Million was added to the various funds. Additions by fund are:

PIF2: \$0.1 Million PIF3: \$0.6 Million PIF4: \$3.4 Million

Between the redemptions and fiscal year end, performance numbers for all the funds are required to be reported as of December 31, 2004. Here are the updated performance numbers on all the funds:

PABRAI INVESTMENT FUND 2 (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00 – 6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01 – 6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02 – 6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03 – 6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04 – 6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05 – 12/31/05	+5.6%	+7.6%	+5.8%	+2.1%
1/1/05 – 12/31/05	+1.7%	+2.1%	+4.9%	+8.8%
Annualized	+2.2%	-8.8%	-1.0%	+28.5%
Cumulative	+12.3%	-38.4%	-5.3%	+272.7%

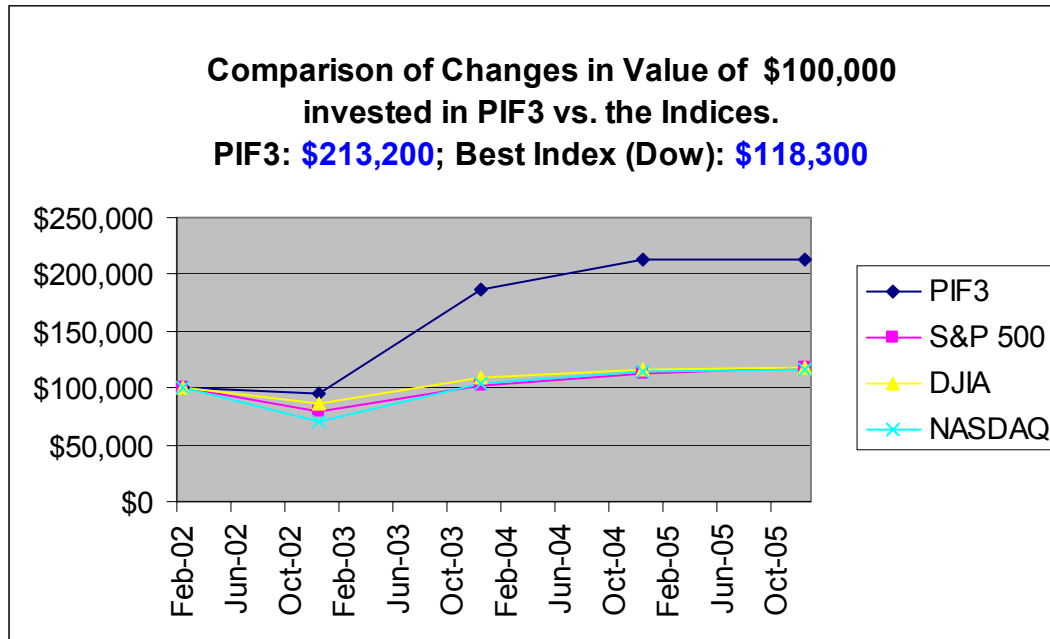


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$522,200 as of December 31, 2005 (net to investors). This equates to an annualized return of 29.0% since inception – after all management fees and expenses. The best index over the same period was the Dow and an investment of \$100,000 in the DJIA on July 1, 1999 was worth \$111,100 on December 31, 2005 – an annualized gain of 1.6%. The Dow gains include reinvested dividends.

PABRAI INVESTMENT FUND 3 (Offshore/IRA Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF3 (net to investors)
2/1/02 – 12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03 – 12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04 – 12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05 – 12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
Annualized	+4.3%	+4.0%	+4.4%	+21.3%
Cumulative	+17.8%	+16.5%	+18.3%	+113.2%

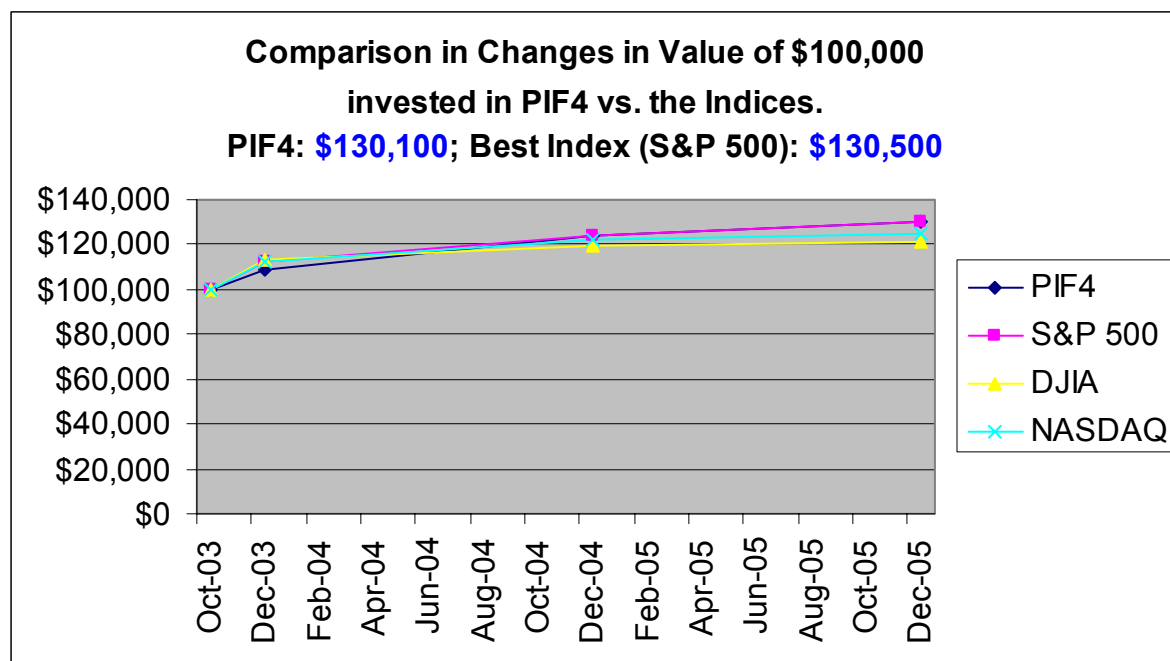


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$213,200 as of December 31, 2005 (net to investors). This equates to an annualized return of 21.3% since inception. The best index over the same period was the S&P 500 and an investment of \$100,000 in the S&P 500 on February 1, 2002 was worth \$118,300 on December 31, 2005 – an annualized gain of 4.4%. The S&P gains include reinvested dividends.

PABRAI INVESTMENT FUND 4 (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03 – 12/31/03	+13.4%	+12.3%	+12.2%	+8.4%
1/1/04 – 12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05 – 12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
Annualized	+9.0%	+10.5%	+12.5%	+12.4%
Cumulative	+21.5%	+25.2%	+30.5%	+30.1%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$130,100 as of December 31, 2005 (net to investors). This equates to an annualized return of 12.4% since inception. The best index over the same period was the S&P 500 and an investment of \$100,000 in the S&P on October 1, 2003 was worth \$130,500 on December 31, 2005 – an annualized gain of 12.5%. The S&P gains include reinvested dividends.

General Comments

It is hard for me to believe that 6½ years have passed since Pabrai Funds' was formed. Time flies when you're having fun and the years have just flown by. I am indeed grateful to all of the partners and investors who have made this possible and provided me with a truly blissful way to spend my time. It is a utopian existence. Thank you – from the very bottom of my heart!

PIF2 was up about 9% for the year; PIF3 was flat and PIF4 was up about 5%. The indices ranged from 2-5% for the year. Our stated measurement periods are much longer – at least 5-10 years. PIF2 has outperformed the various indices by wide margins over 5+ year periods. PIF3 is just 13 months away from completing five years and it too seems poised to outperform over 5+ years by wide margins. PIF4 is just 2¼ years old and has outperformed two of the three indices thus far. I'm optimistic about it outperforming all three indices by a decent margin when it has 5+ years of history.

Partners would be best off setting their expectations for Pabrai Funds to outperform the best of the three indices by a small margin over the long haul. Just 1 in 200 money managers beats the indices by over 3% over the long haul. I consider an annualized 3% out-performance versus the best index to be a superb long-term accomplishment.

Quirky Funds

In many ways Pabrai Funds is a quirky investment vehicle. We don't follow a number of conventional hedge fund or mutual fund protocols. Here are a couple of these quirks along with a brief explanation for the logic behind the quirk:

1. Pabrai Funds charges no management fees, just performance fees. Unlike the typical "1 and 20" or 2 and 20 hedge fund (2% management fee AND 20% of the profits), Pabrai Funds has no management fees –just a 25% performance fee after a 6% annual hurdle. We do it this way for two reasons:
 - i. It was the way the Buffett Partnerships operated. If it was good enough for Mr. Buffett, it is certainly good enough for me.
 - ii. It gets my interests better aligned with yours. I don't make any money till you earn atleast 6% a year. I think it is a very fair arrangement.

If all hedge funds operated this way, two things would happen – the number of hedge funds would go waaaaay down and the performance of the few left standing would, on average, get better. In other words, the world would be a better place. Ofcourse, it ain't happ'nin', but one can always dream.

2. Pabrai Funds does not discuss Portfolio Positions. We do discuss past positions at some length each year during the annual meeting. As of 1/1/05, due to size, we are required to file Form 13-F each quarter with the SEC. The 13-F lists all positions in US Equities over \$200,000 in value across all the funds (and any personal holdings). Also, as of 2005, we made our audits fully GAAP compliant which means the audit reports now contain a schedule of all holdings over 5%. The logic here is that since we have to file the 13-F, we might as well have a fully GAAP compliant audit and include the schedule of investments.

There is, however, no SEC or other requirement to discuss portfolio positions. Most hedge fund and mutual fund managers can't wait to talk about what they own and why. We are quirky in this regard for two reasons:

- i. Mr. Buffett does not discuss his equity trades. His reasoning, from the Berkshire Hathaway Owner's Manual is:

"Despite our policy of candor, we will discuss our activities in marketable securities only to the extent legally required. Good investment ideas are rare, valuable and subject to competitive appropriation just as good product or business acquisition ideas are."

I could not agree more with Mr. Buffett.

- ii. One of the feeders I use for good ideas is to examine the recent buy activities of other value managers. While I've found a few good buys over the years, I often find myself scratching my head at the logic of many of these trades. In many cases, I find myself in strong (and silent) disagreement with the manager – even though they have stellar track records and I have enormous respect for them. I was happy to note that I have company with the Oracle of Omaha on this front. Here is an excerpt from the 2004 Letter to Shareholders of Berkshire Hathaway written by Mr. Buffett:

"Lou Simpson manages about \$2½ billion of equities for GEICO and it is his transactions that Berkshire is usually reporting...You may be surprised to learn that Lou does not necessarily inform me about what he is doing...Therefore, I typically learn of Lou's transactions about ten days after the end of each month. Sometimes, it should be added, I silently disagree with his decisions. But he's usually right."

(Mr. Buffett reduced the font size significantly for that last sentence in the annual report and, to be as precise as possible, I did as well.)

It should be noted that Lou has one of the best records amongst all value managers – delivering over 20% annualized for 15 years! Value clearly lies

in the eyes of the beholder. That is why the best team size for managing an equity fund is a team of one. It is simply not a group activity and independence of thought is fundamental to having a decent shot at doing better than the indices. Discussing portfolio positions has the negative impact of compromising that all-important independence of thought.

Further, if you look at Pabrai Funds portfolio at any given time, large portions of the portfolio is misunderstood/distressed/special situation type investments. For virtually every position we own, intelligent humans could build a case for why it should never have been bought. Some will no doubt turn out to be mistakes of commission, but I have some confidence that in aggregate the results will be quite acceptable – just as they have been quite acceptable over the last 6½ years. Public-equity investing simply isn't a spectator sport - or a even a team sport.

There are several more quirks that I'll highlight in future letters. In the meanwhile, we're likely to continue going on with our quirky ways.

Remembering John Gartmann – my first partner in Pabrai Funds.

On Dec. 17, 2005, John Gartmann – the first partner to join PIFI and PIF2 - lost his battle with prostate cancer and passed away. I met John for the first time in Omaha, Nebraska in 1998 when I was attending my very first Berkshire Hathaway annual meeting. I had tried to get dinner reservations at Gorat's, but it was sold out. I had very recently then bought my first Berkshire Hathaway shares and requested Mr. Buffett to send me a ticket to attend as it was after the cutoff date for automatically receiving the form to get tickets. I also asked him if he could speak to his buddy Pat Gorat and arrange a reservation for me. Mr. Buffett, as always, was very gracious and sent me a ticket to attend, but informed me that he could not help me with the Gorat's reservation.

I bumped into John at Borsheim's. He was wearing a big yellow hat that read "Yellow BRK'ers". I was magnetically drawn to the hat and we started chatting. I told John about my attempts at getting a dinner reservation at Gorat's and he just smiled at me and said, "Well Mohnish, Warren can't get you a seat at Gorat's tonite, but I can." John had a seat open for dinner and offered it to me. Needless to say, we had a wonderful time at Gorat's and that weekend in Omaha – and then every year at the Berkshire annual meeting weekend as well. (The Yellow BRK'ers is a group of Berkshire Hathaway shareholders from all over North America who formed a message board on AOL in 1997).

John and I became very good friends and when I was starting Pabrai Funds a year later, he was very enthusiastic about joining the funds. John was the 2nd largest investor when PIFI started in 1999. He sold some of his rental properties and then added more when PIF2 started in 2000. Other than for taxes, John didn't redeem much. None was happier than me to see the impact Pabrai Funds had on his networth. John was always very appreciative –

he said it let him be a totally free spirit – buying all sorts of gizmos and living life to the fullest. Among the toys that I’m aware he bought over the last few years were a Segway, a mobile home, a H-1 Hummer, a large “R” neon sign auctioned off by some casino, multiple Apple laptops, ipods, GPS systems ... the list is endless. Even his marriage to Marilyn had to be in Las Vegas at the same chapel when Britney Spears got hitched. One year John decided to drive to the Pabrai Funds annual meeting in California. He lived in New Jersey and took the scenic route. He never did make it to the meeting, but did get all the way to Lake Tahoe which he said was too much fun to leave quickly!

I spoke to John last on Dec. 14 – three days before he passed away. He was in a lot of pain and I believe he is in a far better place now. John was simply one of a kind. He had a heart of gold and I miss him already. I believe John brainwashed Marilyn and his daughter Tracy on the merits of “letting Pabrai compound the money.” I’m very happy to serve the Gartmanns’ for as long as they desire. Thanks for all the memories and good times John. And thanks for all the confidence and trust in me over the years. You always had more faith in me than I had in myself.

Alignment of Interests

All three funds are below their alltime highs, so no fees are payable to Dalal Street at this time. Dalal Street (wholly owned by me) and myself (IRA etc.) have a stake of 451,185 units of PIF2, 7126 units of PIF3 and 280,350 units of PIF4. This stake is worth over \$20 Million.

My family and I do not have any investments in any other mutual funds, hedge funds or private partnerships. I can’t think of any other investment vehicle where I’d rather have my family put its assets. Thus I have a deep vested interest in the future performance of Pabrai Funds.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. Our interests are completely aligned. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the single largest investor in the funds.

Next Opening – April 1, 2006 (all funds); February 1, 2006 (PIF3)

There are 2 funds open to new investors to add funds - PIF3 and PIF4.

The minimum investment for PIF4 is \$1,000,000 and one needs to be a “qualified investor” as defined by the SEC. The offering and subscription documents for PIF4 have details on who is considered a qualified investor. Next opening is April 1, 2006.

To invest in PIF3, one needs to be a non-US accredited offshore investor. Tax-exempt accounts like IRAs, Roth IRAs and US Family Foundations can invest in PIF3 as well. The minimum investment to join PIF3 as a new partner is \$1,000,000 for US Tax-exempt accounts and \$100,000 for offshore investors. Next opening date for PIF3 is February 1, 2006.

Existing partners in any of the Pabrai Funds can add funds in increments of \$25,000 at each opening (with a \$25,000 minimum).

Please note that all moneys received from existing and new subscribers for all three funds are now subject to the 2-year lockup period. The first time funds sent in on 2/1/06 can be redeemed is 1/1/09. Pabrai Funds processes redemptions on the FIFO (first-in first-out) basis.

Also note that, going forward, PIF2/PIF4 will open once every quarter to add funds from new/existing investors (1/1, 4/1, 7/1, 10/1) while PIF3 will continue to add funds on the 1st day of every month.

2006 Annual Meetings – Save the date

As we did this year, there will be two annual meeting sequentially at Chicago and Orange County, California. The Chicago meeting is scheduled to be on Saturday, Sept. 16, 2006 at 4:00 PM at our usual venue:

[Carlucci's Restaurant](#)

(The Auditorium)

6111 North River Road, Rosemont, Illinois 60018

Tel. +1847.518.0990

Carlucci's is a five minute taxi ride away from O'Hare airport. [The Marriott Suites O'Hare](#) and [The Westin O'Hare](#) are both next to the restaurant. In addition, there are a plethora of hotels in the vicinity.

The Orange County meeting will be held on Sept. 30, 2006 at 4:00 PM at our usual venue:

[Hyatt Regency Huntington Beach Resort and Spa](#)

(Grand Ballroom)

21500 Pacific Coast Highway, Huntington Beach, CA 92648

Tel. +1714.698.1234

We do have 10 rooms set aside for the event at \$190/night for the 30th. Call the hotel directly and book your room at this rate at the earliest mentioning Pabrai Investment Funds. Alternately, Hyatt.com usually has good rates and you can book online as well. Please book early as the hotel usually is fully booked around that time.

The hotel is closest to Orange County Airport (SNA), though LAX and Long Beach (LGB) are convenient as well.

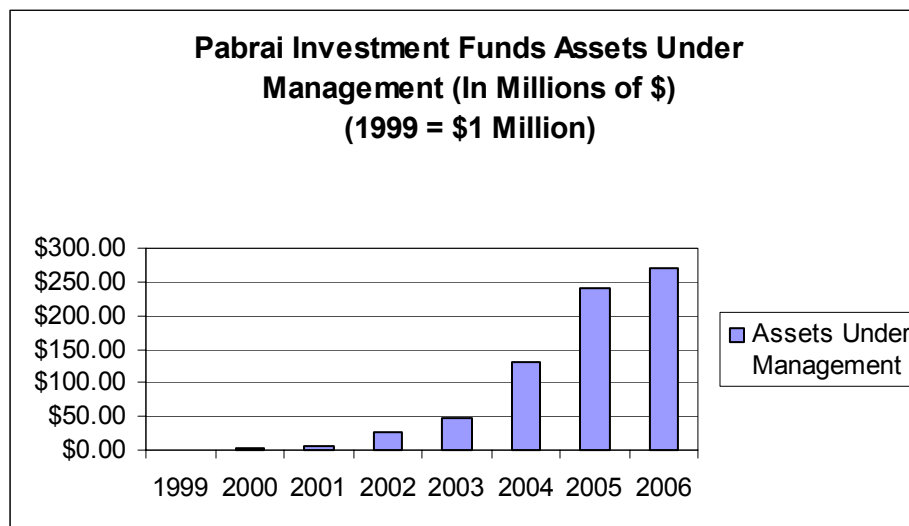
Agenda:

4:00 – 4:30 PM: Meet and Greet
4:30 – 6:30 PM: Presentation and Q&A
6:30 – 7:30 PM: Cocktail Hour
7:30 PM: Dinner

The invites will go out in June '06. Your significant other and kids of all ages are welcome to attend. I look forward to seeing you in September '06.

Assets Under Management

There is about \$271 Million in assets under management between all the funds as of January 1, 2006.



Thanks for your continued interest, referrals and support. Feel free to call me at +1949.275.5652 or email me at mpabrai@pabraifunds.com with any queries or comments.

Warm Regards,

Mohnish Pabrai

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/1/2000	\$10.00
330,014	6/30/2001	\$11.74
1,027,795	6/30/2002	\$15.89
1,950,982	6/30/2003	\$21.32
2,445,212	6/30/2004	\$29.58
2,696,687	6/30/2005	\$36.52
2,733,298	7/31/2005	\$38.03
2,774,863	9/30/2005	\$39.59
2,791,234	11/30/2005	\$36.65
2,602,256	12/31/2005	\$37.27

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	2/1/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,823	12/31/2005	\$21.32

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/1/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,802	12/31/2005	\$13.01